

Paradiem

The Morning Brief

AUGUST 26, 2026

Chip Bounce

Chips and duration reverse Monday's de-risk as oil breaks on Iran-Oman Hormuz corridor talks; NVDA AMC and the PCE-GDP-Durables triple frame today's setup.

S&P 500 (SPY)	NASDAQ (QQQ)	NVDA	WTI (USO)	FEAR & GREED
\$765.91 · ↑0.32%	\$710.72 · ↑0.62%	\$213.05 · ↑2.19% (into AMC print)	\$126.15 · ↓4.58% (Hormuz talks)	~55 · Greed (CNN; drop crypto fallback)

SECTION 01

Markets — Chip Complex Reverses Monday’s De-Risk Into the NVDA Print, Duration Catches a Second Bid as Consumer Confidence Misses, and Oil Cracks 4–5% on Iran-Oman Hormuz Corridor Reporting

TUESDAY ROUND-TRIPPED THE MONDAY DE-RISK IN THE FCI SEMIS SLEEVE — BROAD-BASED BID LANDED AHEAD OF NVIDIA’S AFTER-CLOSE PRINT WITH THE TWO-SIDED RESPONSE FUNCTION UNCHANGED

Per data drop, SPY closed ↑0.32% at \$765.91 with QQQ ↑0.62% at \$710.72 and DIA ↑0.30% at \$535.24 on Tuesday, and the FCI semiconductor complex reversed nearly all of Monday’s pre-print compression: AMD ↑4.91% at \$479.18, MRVL ↑4.84% at \$240.38, KEYS ↑3.05% at \$320.12, NVDA ↑2.19% at \$213.05 (session H \$214.73), TSM ↑1.78% at \$417.41, LRCX ↑1.45% at \$314.66, QCOM ↑1.28% at \$160.56, and NXPI ↑1.04% at \$224.75. Per Benzinga coverage cited in the data drop headlines, sell-side commentary framed the bounce against the Blackwell-ramp thesis and Nvidia’s pre-print technical setup; per SeekingAlpha coverage cited in the data drop, Marvell’s Q2 setup remains the sleeve bookend Thursday AMC. For FCI positioning, the composition — near-full round-trip of Monday’s de-risk on the eve of the marquee catalyst — leaves the response function still two-sided but with less headroom to disappoint: a beat-and-raise historically tends to compound the Tuesday bid, while a guide-below or hyperscaler-mix concern historically tends to compress the sleeve back through Monday’s range.

FCI SEMIS REVERSAL (TUE)	AMD ↑4.91% · MRVL ↑4.84% · NVDA ↑2.19%
TSM / LRCX / KEYS	↑1.78% / ↑1.45% / ↑3.05%
TLT (20Y BOND)	\$83.47 · ↑1.10% (duration bid extends)
OIL COMPLEX (TUE)	USO ↓4.58% · BNO ↓4.77% · XLE ↓1.66%
FINTECH & MINERS	HOOD ↑8.17% · HUT ↑7.47% · MARA ↑5.81%
WED TRIPLE + NVDA	GDP+PCE+Durables 8:30 ET · NVDA AMC

DURATION EXTENDED THE BID AS CONSUMER CONFIDENCE MISSED — TLT ↑1.10% MARKS A NOTABLE SINGLE-SESSION MOVE IN THE CURRENT WINDOW

Per data drop, TLT closed ↑1.10% at \$83.47 — a materially wider single-session move than the modest ↑0.62% duration bid recorded Monday and a notable extension of the duration bid within the current window. Per Conference Board release cited in Seeking Alpha and PRNewswire coverage, the August Consumer Confidence Index printed 89.4 versus consensus near 90.1 and July’s 90.2 — a modest headline miss

with the Expectations Index sliding 5.8 points to 68.2 while the Present Situation Index rose 6.8 points to 121.2; a composition consistent with softer forward-looking sentiment against a still-firm current read. Per data drop sector composition, staples XLP ↓1.06% and industrials XLI ↓0.34% traded softer alongside the yield fade, while tech XLK ↑0.94% and comm-svcs XLC ↑0.77% led on the chip-sleeve reversal. For FCI positioning, the composition — duration bid extending on softer forward-looking confidence into the Wednesday PCE print — keeps the yield-and-duration expression sitting at the intersection of the September FOMC probability distribution and the pre-print positioning; per CME FedWatch coverage cited in prior briefs, September odds remain heavily hold-weighted and materially dependent on this morning's core PCE read for any incremental shift.

OIL COMPLEX CRACKED 4–5% ON IRAN-OMAN HORMUZ CORRIDOR REPORTING — THE PHYSICAL-FRICTION FLOOR EASED AS BESSENT'S "D-DAY" SANCTIONS READ NARROWER THAN THE FRAMING HAD IMPLIED

Per data drop, USO (WTI proxy) closed ↓4.58% at \$126.15 on Tuesday and BNO (Brent proxy) closed ↓4.77% at \$50.26

— a notable single-session compression in the crude complex. Per Reuters coverage cited in the data drop headlines (“Oil prices fall \$2 on Iran-Oman talks to reopen Strait of Hormuz” and “Iran and Oman discuss temporary Hormuz corridor as impasse with US drags on”), the primary driver was reporting on bilateral talks between Tehran and Muscat around a temporary Strait of Hormuz corridor arrangement. Per additional Reuters coverage cited in the data drop, Bessent's Monday “D-Day” sanctions package landed narrower than the framing had implied — Reuters characterized the package as “more Anzio” than D-Day, with the toughest secondary-sanction blows delayed. Per data drop, the FCI energy sleeve tracked the fade: CVX ↓1.58% at \$199.89, OKE ↓1.42% at \$91.70, and CNX ↓1.32% at \$36.00, with XLE ↓1.66% on the session. For FCI positioning, the composition — corridor-negotiation signal plus narrower-than-feared sanctions detail — eases the physical-friction floor at the margin but leaves the compound Middle East and Ukraine-Russia refinery supply variable structurally intact into the Wednesday PCE print.

A tape that reverses a marquee-print de-risk into the print itself tends to leave less headroom for the response function to disappoint. Discipline over impulse.

Geopolitics — Bessent’s “D-Day” Package Reads Narrower Than the Framing Implied, Iran-Oman Hormuz Corridor Talks Break the Crude Complex, Lisa Cook 21-Day Response Deadline Lands Today, and the Trump-Xi 7.5% Overcapacity Tariff Advances Toward the September 24 Summit

BESSENT’S MONDAY PACKAGE WAS FRAMED AS “D-DAY” BUT LANDED “MORE ANZIO” PER REUTERS — THE TOUGHEST SECONDARY-SANCTION BLOWS ON CHINESE REFINERS AND MARINE-INSURANCE CHANNELS WERE EXPLICITLY DELAYED

Per Washington Post, Axios, NPR, and PBS NewsHour coverage of Monday’s Treasury press conference, Secretary Bessent unveiled what the administration branded “Operation Economic Outcast,” expanding the categories of secondary sanctions on Iran across digital assets, technology, gold, aviation, and shipping and telling foreign nations to cut economic ties to Tehran or face retaliation. Per Reuters coverage cited in the data drop headlines (“Bessent’s D-Day sanctions are more Anzio, but Iran response is key”), the package’s toughest planned secondary-sanction blows on Chinese refiners and marine-insurance channels were explicitly delayed — a construction the market read as materially narrower than the framing had implied and one that eased the physical-friction floor under crude on Tuesday. Per additional Reuters coverage cited in the data drop, some oil companies have begun avoiding ships on an Iran-related blacklist, indicating the enforcement perimeter is beginning to shape flows at the vessel-and-cargo level even before the toughest measures land. For FCI positioning, the composition — expanded categorical perimeter without the marine-insurance and Shandong teapot escalation the framing had implied — keeps the FCI energy sleeve (CVX, CNX, OKE) two-sided into any incremental enforcement signal and continues to isolate the sleeve as the intersection of the geopolitical risk premium and the debasement bid.

IRAN-OMAN HORMUZ CORRIDOR REPORTING DROVE THE CRUDE BREAK — MUSCAT’S MEDIATION ROLE ADDS A MATERIALLY DE-ESCALATORY SIGNAL ON TOP OF SATURDAY’S IRAQI-TANKER PERMISSION

Per Reuters coverage cited in the data drop headlines (“Iran and Oman discuss temporary Hormuz corridor as impasse with US drags on” and “Oil prices fall \$2 on Iran-Oman talks to reopen Strait of Hormuz”), Iran and Oman have opened bilateral discussions on a temporary Strait of Hormuz corridor arrangement while the broader US-Iran impasse continues — a reporting cluster that supplied Tuesday’s primary crude driver. Per Saturday’s brief and continued Reuters coverage, this compounds on the earlier signal that Iran granted permission for Iraqi oil tankers to transit Hormuz; per additional Reuters coverage cited in the data drop, the US has begun returning staff to Middle East missions after the earlier Iran war evacuations. If taken at face value, the composition suggests Muscat is emerging as a mediation channel between Tehran and Washington and that the physical-friction floor under crude is easing structurally at the margin. Per Reuters coverage cited in the data drop, Qatar’s stranded gas cargoes at the six-month mark of the Iran war are lifting US LNG sales and pressuring European stocks

— a compound read that continues to sit on the FCI energy-and-materials sleeve.

LISA COOK 21-DAY RESPONSE DEADLINE CLOSING TODAY — THE FED-INDEPENDENCE OVERHANG READS ALONGSIDE THE 8:30 AM ET TRIPLE RELEASE AND NVIDIA’S AFTER-CLOSE PRINT; TRUMP-XI 7.5% OVERCAPACITY TARIFF ADVANCES TOWARD SEPTEMBER 24 SUMMIT

Per Washington Post, Axios, NPR, CBS News, and SCOTUSblog coverage of the August 5 White House letter from Deputy Chief of Staff Dan Scavino, Federal Reserve Governor Lisa Cook’s 21-day window to respond to allegations that she committed mortgage fraud on 2021 mortgage applications closes today, August 26 — the same session as the 8:30 AM ET GDP-and-PCE-and-Durables triple and Nvidia’s after-close print. Per Bloomberg, Yahoo Finance, Investing.com, WION, and Semafor coverage of the emerging tariff sequence, the administration is preparing an additional 7.5% overcapacity tariff on Chinese goods designed to keep the aggregate US-China tariff burden near the approximately 20% level Beijing has signaled as consistent with the current trade truce, with the announcement timed around the September 24 Trump-Xi summit in Washington; per Bloomberg, exact rates have yet to be finalized. Per Reuters

coverage cited in the data drop, Trump has sent a Saudi civil nuclear cooperation package to Congress conditioned on Riyadh formally recognizing Israel — a Gulf-security compound that adds another lever to the Middle East-and-China sequence. For FCI positioning, the composition —

Fed-independence signal, September FOMC probability distribution, US-China tariff overhang, and Gulf-security realignment — keeps the sequence risk broadly two-sided into the November 10 trade-truce expiry captured in prior briefs.

SECTION 03

On Our Radar

1. The Wednesday Compression Apex — GDP Q2 2nd Estimate, July PCE, and Durable Goods at 8:30 AM ET; Nvidia AMC With CRM and CRWD; Lisa Cook Response Deadline the Same Day. Per BEA release schedule, the July Personal Income & Outlays report (including the PCE and core PCE deflators) publishes today at 8:30 AM ET alongside the Q2 2026 GDP 2nd estimate and July Durable Goods Orders — the widest single-morning macro release cluster of the current window. Per Morningstar, Oxford Economics, and TradingKey preview coverage, core PCE consensus sits near $\uparrow 0.2\%$ month-over-month and $\uparrow 3.3\%$ year-over-year, unchanged from the June print; per Yahoo Finance rate-market coverage, futures traders are pricing an approximately 64% probability the Fed holds the funds-rate range at 3.50–3.75% at the September meeting, with the read materially dependent on this morning's core PCE. Per data drop, Nvidia reports after the close, with CRM and CRWD the same evening; per Kansas City Fed calendar cited in prior briefs, Chair Warsh's Jackson Hole keynote lands Friday at 10:00 AM ET under the "Financial Innovation: Implications for Payments and Policy" theme — the sequence apex sits today.

2. NVDA Print Setup — Consensus Near \$92B Revenue and \$2.13 EPS With Data Center Above \$85B; the Blackwell Ramp and Hyperscaler-Mix Read Are the Operative Variables. Per Kiplinger, Yahoo Finance, and Intellectia preview coverage, sell-side consensus for the quarter ended July 27 sits near \$92.2B in revenue (approximately ↑97% year-over-year) and \$2.09–\$2.13 in EPS versus prior-year comparables, with Data Center revenue anticipated above \$85B (approximately ↑107%) and the newly-split Hyperscaler segment expected near \$43.5B against ACIE (AI Clouds, Industrial, Enterprise) near \$41.7B. Per Kiplinger, options traders had priced an approximate 7% post-earnings move heading into the print, and per prior TipRanks coverage cited in Sunday’s brief the stock has declined after each of the past four quarterly releases. Per data drop, the Estimate consensus recorded in the earnings feed sits at \$2.1283 EPS; per Seeking Alpha coverage cited in the data drop headlines, sell-side analysts frame the Blackwell ramp and the hyperscaler-mix pattern as the operative variables and the pre-print technical setup as the key upside test. For FCI positioning, a beat-and-raise consistent with the current consensus tends historically to compound the Tuesday sleeve bid; a guide-below or hyperscaler-mix concern historically tends to compress the sleeve back through Monday’s range.

3. Oil Complex Reads Bessent Narrower and Iran-Oman Hormuz Corridor Talks — USO ↓4.58%, BNO ↓4.77%, XLE ↓1.66%; The Physical-Friction Floor Eased at the Margin but the Compound Supply Variable Remains Intact. Per Reuters coverage cited in the data drop, the crude complex read Monday’s Bessent “Operation Economic Outcast” package as narrower than the framing had implied and the Iran-Oman bilateral Hormuz corridor talks as materially de-escalatory at the margin; per data drop, the FCI energy sleeve tracked the compression with CVX ↓1.58%, OKE ↓1.42%, CNX ↓1.32%, and XLE ↓1.66%. Per Reuters coverage cited in the data drop, some oil companies have begun avoiding vessels on an Iran-related blacklist even as the toughest secondary measures were delayed — the enforcement perimeter is shaping flows at the vessel-and-cargo level before the framework escalation lands. Per Wikipedia and OilPrice coverage cited in prior briefs, the Ukraine-Russia refinery campaign continues to disrupt Druzhba flows into Hungary and Slovakia; per Reuters coverage cited in the data drop, six months into the Iran war approximately half of global oil flows now transit war-adjacent zones. The compound supply variable remains structurally intact even as Tuesday’s tape re-rated the near-term risk premium lower.

4. Fintech and Miner Rip Reads Alongside the Chip Bid — HOOD ↑8.17%, HUT ↑7.47%, MARA ↑5.81%, SOFI ↑4.17%; IBIT and ETHA Held Roughly Flat. Per data drop, the FCI fintech-and-miner complex printed a notably wide single-session move: HOOD ↑8.17% at \$112.09 (session H \$112.45 reversed the Monday round-trip), HUT ↑7.47% at \$85.50, MARA ↑5.81% at \$11.83, and SOFI ↑4.17% at \$19.00. Per data drop, IBIT closed roughly flat ↑0.18% at \$44.72 and ETHA ↓0.32% at \$18.60 — the miner-and-fintech equity expression widened materially against the ETF-channel bid, a divergence pattern that historically tends to mark shifts in the marginal buyer between spot-adjacent equity and ETF flows. Per Benzinga coverage cited in the data drop headlines, sell-side commentary on the ETF flow cycle continued to frame the ARKB and IBIT positioning; per SeekingAlpha coverage cited in the data drop, the ETHA thesis continues to sit at the intersection of the debasement bid and the regulatory-framework tailwind. For FCI positioning, the composition — miner-and-fintech equity rip against roughly flat ETF prices — keeps the digital-asset expression compounding into Chair Warsh’s Friday “Payments and Policy” keynote.

5. Consumer Confidence Missed at 89.4 vs Consensus 90.1 — Expectations Index ↓5.8 Points to 68.2, Present Situation Index ↑6.8 Points to 121.2; The Forward-Looking Read Softened Against a Firmer Current Read. Per Conference Board release cited in Seeking Alpha, PRNewswire, and ABA Banking Journal coverage, the August Consumer Confidence Index printed 89.4 versus the roughly 90.1 consensus and July’s 90.2 — the second consecutive monthly moderation. Per Conference Board Chief Economist Dana M. Peterson, the Expectations Index slipped 5.8 points to 68.2 (further into negative territory), while the Present Situation Index rose 6.8 points to 121.2 following three consecutive monthly declines. For FCI positioning, the composition — softer forward-looking sentiment against a firmer current read — reinforces the duration bid captured in the TLT ↑1.10% Tuesday move and continues to sit at the intersection of the pre-PCE positioning and the FOMC probability distribution.

6. Carson's SPY \$645.80 Support Remains Active — Tuesday's \$763.05 Intraday Low Left the Level Untouched; No New Levels Set. Per levels.json, Carson's active SPY support at \$645.80 remained untouched through Tuesday's \$763.05–\$766.78 SPY intraday range per data drop and now sits approximately 15.7% below the current tape at \$765.91. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone (both hit that session). With July PCE and Q2 GDP 2nd estimate today at 8:30 AM ET, Nvidia reporting after the close alongside CRM and CRWD, the Lisa Cook response deadline the same day, MRVL Thursday AMC, and Chair Warsh's Jackson Hole keynote Friday at 10:00 AM ET, the pre-committed FCI deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-session gap through the sequence. Note: the data drop Fear & Greed reading of 65 "Greed" reflects the CNN endpoint falling back to the crypto index; per finhacker.cz coverage, the CNN stock-market F&G reading sits near 55 "Greed" and should be treated as approximate for this brief.

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